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Airbnb, Inc. (ABNB)

Q2 2022 Earnings Call

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MANAGEMENT DISCUSSION SECTION

Operator: Good afternoon and thank you for joining Airbnb's Earnings Conference Call for the Second Quarter of 2022. As a reminder, this conference call is being recorded and will be available for replay from the Investor Relations section of Airbnb's website following this call.

I'll now hand the call over to Ellie Mertz, the VP of Finance. Please go ahead.

Ellie Mertz

Vice President-Finance, Airbnb, Inc.

Good afternoon and welcome to Airbnb's Second Quarter of 2022 Earnings Call. Thank you for joining us today. On the call today, we have Airbnb's Co-Founder and CEO, Brian Chesky, and our Chief Financial Officer, Dave Stephenson. Earlier today, we issued a shareholder letter with our financial results and commentary for our second quarter of 2022. These items were posted on the Investor Relations section of Airbnb's website. During the call, we'll make brief opening remarks and then spend the remainder of time on Q&A.

Before I turn it over to Brian, I would like to remind everyone that we will be making forward-looking statements on this call that involve a number of risks and uncertainties. Actual results may differ materially from those expressed or implied in the forward-looking statements due to a variety of factors.

These factors are described under forward-looking statements in our shareholder letter and in our most recent filings with the Securities and Exchange Commission. We urge you to consider these factors and remind you that we undertake no obligation to update the information contained on this call to reflect subsequent events or circumstances. You should be aware that these statements should be considered estimates and are not a guarantee of future performance.

Also, during this call, we will discuss some non-GAAP financial measures. We've provided reconciliations to the most directly comparable GAAP financial measures in the shareholder letter posted to our Investor Relations website. These non-GAAP measures are not intended to be substitutes for our GAAP results.

And with that, I will pass the call to Brian.

Brian Chesky

Chairman, Chief Executive Officer & Co-Founder, Airbnb, Inc.

All right. Thank you, Ellie. And good afternoon, everyone. Thanks for joining. Our Q2 results demonstrate that Airbnb has achieved growth and profitability at scale. From a growth perspective, we exceeded 103 million nights and experiences booked. Now this was our largest quarterly number ever.

Revenue was $2.1 billion, up 58% from last year or 64% excluding foreign exchange. Gross booking value was $17 billion, up 27% from last year or 34% if you exclude foreign exchange. Now both revenue and GBV were 73% higher than Q2 2019, significantly outperforming the travel industry.

Now from a profitability perspective, we had our most profitable Q2 ever. Net income of $379 million was a nearly $700 million improvement from Q2 2019. Adjusted EBITDA was $711 million. Now this represents a 34% adjusted EBITDA margin, which is significantly up from the 16% margin in Q2 2021 and negative 4% in Q2 2019.

Finally, we generated $795 million of free cash flow. Now this is a $1.1 billion improvement from the nearly $300 million cash burn two years ago at the depth of the pandemic. Over the last 12 months, Airbnb generated $3 billion in free cash flow, nearly $3 billion, and ended the quarter with nearly $10 billion in cash.

So what explains this transformation in our business? Well, first, our business model is adaptable. We've nearly every type of space in nearly every location. So however travel changes, we can adapt. And regardless of the economic environment, our guests come to Airbnb because they can find great value and our hosts can earn extra income.

Second, we've relentlessly innovated while all still staying focused and disciplined. When the pandemic began in 2020, we made some incredibly difficult decisions. We significantly reduced spending, making us a leaner and more focused company. And we've kept this discipline ever since, allowing us to keep the hiring and investment plans made in the beginning of the year.

And Airbnb is well-positioned for whatever lies ahead. In fact, we're so confident in our long-term growth and profitability that today we're announcing a $2 billion share repurchase program. And this is coming only a year and a half after our IPO.

Now, returning to our Q2 results. Our strong financial performance is driven by a number of positive business trends. First, guest demand at Airbnb is as high as ever. In Q2, we surpassed 103 million nights and experiences booked, marking our highest quarterly number ever. Now, despite broader macroeconomic concerns, we still saw a 25% increase in nights and experiences booked during the quarter of 2021.

Now, early in Q2, strong guest demand exceeded our expectations. This was because guests in Europe and North America booked earlier than they have historically. Now, given this earlier booking, growth rates compared to last year decelerated in May and June. And since the end of Q2, what we've seen is growth in nights booked reaccelerate from June to July as we enter peak travel season.

Second, guests continue to return to cities and cross borders. In previous quarters, we've talked about how we saw significant growth driven by surges in domestic travel as well as travel to rural destinations. Now these trends continue, but we're also seeing guests returning to cities and crossing borders above pre-pandemic levels.

Third, guests continue to stay longer at Airbnb. They're not just traveling to Airbnbs. They're now living at Airbnbs. We saw long-term stays of 28 days or more remain our fastest growing category by trip length compared to 2019. And long-term stays have increased nearly 25% from a year ago and actually long-term stays have increased almost 90% since Q2 2019.

Fourth, guest demand is driving growth of our host community. We continue to see the strongest supply increases in areas of greatest demand with non-urban active listings up 50% compared to Q2 2019. But as demand is returning to cities, we're also seeing an increase in total urban supply.

And we believe the upgrades we introduced last year, including our new host onboarding flow and AirCover, are supporting this growth. But we're not stopping there. So you're going to see some exciting new product features to recruit the next generation of hosts later this year.

Finally, I'd like to share a few highlights from the 2022 summer release. In May, we introduced Airbnb Categories. Since launch, listings in Airbnb Categories have been viewed more than 180 million times. Through Categories, we are distributing guest discovery across more destinations and dates.

Now we also introduced AirCover for guests. Since launch, the net promoter score for guests that are having an issue with their stay has already improved. In the rare instance where a host cancels, AirCover has led to 10% more rebookings.

So to recap, we achieved significant milestones this quarter with our results. Nights and experiences booked were our highest ever. Revenue and adjusted EBITDA were records for Q2 and free cash flow was $795 million. In the last 12 months, we generated nearly $3 billion in free cash flow.

Now, before I go to questions, I want to talk about an update on my Co-Founder, Joe Gebbia. Last month, Joe announced that he'll be stepping back from his full-time operating role. Joe will continue to serve on the board of directors of both Airbnb and Airbnb.org. Airbnb is a founder-led company. So he's going to continue to take a role at Airbnb and this will be as an advisor to Nate and me on future concepts and creative culture.

Since the beginning, Joe has always been focused on big ideas to help others. He's our uncompromising true north. So it'll be fun to be able to spend more time with him on dreaming up new ideas just like the early days. And as I reflect back on the last 14 years together, I just can't believe how lucky Joe, Nate and I have been. If anything had just gone a few degrees in a different direction, I wouldn't be doing this call with you right now. That's how fragile ideas are and it's what gives me gratitude to know Joe and Nate. And what I'm most thankful for is that we're still together, still meeting every Sunday 14 years after we started. We built a dream together. And now, after all these years, we still continue to dream. So thank you, Joe.

And with that, Dave and I look forward to answering your questions.

QUESTION AND ANSWER SECTION

Operator: [Operator Instructions] Our first question is from Lloyd Walmsley with UBS. Your line is open.

Lloyd Walmsley
Analyst, UBS Securities LLC
Q

Thanks a lot. Two questions if I can. First, just it looks like room nights and experiences booked grew a little bit sequentially less in 2Q this year than it did in 2019. And similar to the guidance, it looks like it's calling for a little bit slower sequential growth. Just wondering if there's anything you'd call out that's behind that.

And then secondly, can you give us an update on what you're seeing around just how people are using the platform post some of the new search and discovery innovations this summer? Are you seeing demand move into a wider dispersion of areas or any changes in conversion rates? What are early learnings from some of those innovations this past summer? Thanks.

Brian Chesky
Chairman, Chief Executive Officer & Co-Founder, Airbnb, Inc.
A

Yeah. Thank you very much. Dave, why don't you take the first question about 2Q growth? And I could talk a little bit about how the launch of Airbnb Categories has affected how people use Airbnb.

David E. Stephenson
Chief Financial Officer, Airbnb, Inc.
A

Yeah. Starting on our Q2 gross nights booked order cancellations, they came in actually above our internal expectations. We did see some elevated cancellations in the back of the quarter relative to our forecasts. And we believe that some of the elevated cancellations related to flight cancellations around the world. But it was mostly in North America towards the end of Q2 2022. And we're just seeing strong overall nights growth. The 25% year-over-year growth in nights and experiences we feel very confident in. And having the same results for Q3, we also feel quite good about. We're just seeing strong demand for guest travel all around the world.

Brian Chesky
Chairman, Chief Executive Officer & Co-Founder, Airbnb, Inc.
A

And just to answer the second question. Just to give a little bit of background. For decades, travel searches worked the same way. There's a search box and you are asked to enter a location. And the problem with that is that Airbnb is in 100,000 locations all over the world. And so people can't think to type in 100,000 destinations into a search box. And so people miss millions of unique Airbnbs they would have never known to search for. And the reason this is important, as you asked, is because we think that Airbnb Categories can allow us to point demand to where we have supply, which I think is one of the really big opportunities.

So as I said, since release, listings in Airbnb Categories have been viewed over 180 million times. We've also seen that guests are now showing more flexibility with their dates and their destinations than before. So for example, a typical search, properties are 30 miles further apart than they would have been before. So we are seeing search radiuses increase. Additionally, we are seeing more people continue to use the flexible dates feature. So we believe our theory is working. Airbnb Categories allows us to highlight what makes us unique. It allows us to point demand where we have supply. And I also think it helps us be an inspiration business for people that start to travel on Airbnb.

Lloyd Walmsley
Analyst, UBS Securities LLC

Q

Okay. Thank you.

Operator: Our next question is from Mario Lu with Barclays. Your line is open.

Mario Lu
Analyst, Barclays Capital, Inc.

Q

Great. Thanks for taking the questions. So the first one's on new initiatives. So clearly, if you look at the third quarter guidance, it seems like bookings is expected to contract by more than 10 points in 3Q versus 2019 versus the second quarter. So does that change the timing or focus on other new initiatives such as experiences? Or are more resources now being focused back on the core business?

Brian Chesky
Chairman, Chief Executive Officer & Co-Founder, Airbnb, Inc.

A

No. We have a very consistent strategy. And our strategy is, number one, we want to unlock the next generation of hosts. We have 4 million hosts on Airbnb and I think that millions more could turn to hosting especially during these economic times. So that I think is really priority number one. As we add more hosts, we continue to grow.

We want Airbnb to be the ultimate host to our guests and hosts. That's why we offered AirCover where we continue to provide better service all over the world and continue to up-level. And guests aren't just traveling to Airbnbs. They're now living at Airbnbs. And so we want to continue to offer more opportunities for them to travel and live on Airbnb. So we are still focused on our core business. That is the priority for us. We are also continuing to invest in long-term stays and other initiatives, and most importantly, providing an incredible service that people love. And I would also just say, again, we're feeling really, really solid and good about Q3.

David E. Stephenson
Chief Financial Officer, Airbnb, Inc.

A

Yeah, I'll just...

Brian Chesky
Chairman, Chief Executive Officer & Co-Founder, Airbnb, Inc.

A

...do you have anything you want to add?

David E. Stephenson
Chief Financial Officer, Airbnb, Inc.

A

...on Brian's comment. We do really feel good about the stable bookings in Q3 particularly given we have long lead times that we're seeing. We're seeing some pull-forward for summer travel here in Q2 and just the broader economic conditions overall. If you look at our gross booking value growth versus 2019, Q1 was 73%, Q2 was 73%; we're just seeing strong gross booking value growth relative to 2019. And to see further kind of quarter-over-quarter acceleration, we just need to see continued recovery in Europe and APAC, which remains significantly depressed.

Mario Lu
Analyst, Barclays Capital, Inc.

Q

Great. And just to follow up on speaking of APAC. You guys mentioned that the domestic business is trending down in China, which I believe you guys said was around 1% of your business. Is there any other color you could provide in terms of the P&L impacts from shutting that down and any color on how large the outbound bookings for China is? Thanks.

Brian Chesky
Chairman, Chief Executive Officer & Co-Founder, Airbnb, Inc.

A

Dave?

David E. Stephenson
Chief Financial Officer, Airbnb, Inc.

A

Yeah, the China business has been a small part of the business overall. It's had less than a 1% impact on our revenue. One of the things that has been important in us getting out of the domestic business in China is maintaining our focus on what we think is the most valuable and important part of China, which is the outbound business.

So really what we've done is we've shifted all of the resources that we were applying and splitting both domestic and outbound travel. We focused all of that on outbound, which we think is the greater prize and the most important part for the long term. So until China has their COVID policy kind of in place and allowing people to kind of travel outbound from China, it will kind of remain to be depressed. But as that evolves and Chinese travelers travel again, we think that will be a nice unlock for our Asia Pacific business. It's not going to have a material impact on our P&L.

Mario Lu
Analyst, Barclays Capital, Inc.

Q

Great. Thanks, Dave.

Operator: Our next question is from Bernie McTernan with Needham & Company. Your line is open.

Bernie McTernan
Analyst, Needham & Co. LLC

Q

Great. Thanks for taking the questions. ADRs are hanging in there better than feared, I believe. Still expecting them to be up year-over-year. Can you just talk through some of the puts and takes, demand-driven pricing versus mix shift?

Brian Chesky
Chairman, Chief Executive Officer & Co-Founder, Airbnb, Inc.

A

Dave?

David E. Stephenson
Chief Financial Officer, Airbnb, Inc.

A

Yeah. If we kind of rewind to what we've seen with ADRs back at the beginning of the pandemic, all of the increase was driven by mix. There was this initial resurgence of the travel for North America, whole home, non-urban. And then over time we've seen mix become less and less a part of the increase in the ADR. Here in both Q1 and Q2, what we've seen is that ADRs were up 40% year over three years back to 2019. And about two-thirds of that increase has been price appreciation and about a third due to mix. And so we do anticipate that over time as more people return to travel to urban, more cross-border; ADRs may moderate. But yes, as you see now, two-thirds of that has actually been price appreciation. Mix has always been stickier than what we anticipated maybe six months ago.

Bernie McTernan
Analyst, Needham & Co. LLC

Q

Got it. And then the dip in May and June from the earlier booking windows and then re-acceleration in July, is that re-acceleration for near-term bookings in terms of late summer? Or is that kind of early bookings for the fall and winter period?

David E. Stephenson
Chief Financial Officer, Airbnb, Inc.

A

Well, it's a bit of both. Really, we have on the books for Q4 of this year, we have more nights on the books in Q4 relative to the same kind of period a year ago. It's very strong. We're seeing really strong demand in the back half of the year, so we're seeing a bit of both.

Bernie McTernan
Analyst, Needham & Co. LLC

Q

Got it. Thank you.

Operator: Our next question is from Justin Patterson with KeyBanc Capital Markets. Your line is open.

Justin Patterson
Analyst, KeyBanc Capital Markets, Inc.

Q

Great. Thank you. Two if I can. Brian, when you look at hosts right now and just the friction to onboarding, what are you looking to really solve with this upcoming release? And then, secondly, perhaps for both of you and Dave, you've clearly shown a lot of margin progress, free cash flow progress over the next two years. How should we think about just the puts and takes between overall growth and showing more margin, more free cash flow generation ahead? Thank you.

Brian Chesky
Chairman, Chief Executive Officer & Co-Founder, Airbnb, Inc.

A

And just to confirm, you're talking about with this upcoming release, right, this winter?

Justin Patterson
Analyst, KeyBanc Capital Markets, Inc.

Q

Yeah. Well, it can be a little broader in there. Just where the friction point on onboarding is.

Brian Chesky
Chairman, Chief Executive Officer & Co-Founder, Airbnb, Inc.

A

Yeah. So that's a great question. Why don't I answer the first question? And then, Dave, you can talk about margin improvement and I can potentially elaborate on that answer as well. As we said, we have 4 million hosts on Airbnb. But we think there are millions more people that could turn to hosting. Honestly, hosting is one of the easiest ways to be able to make money with an asset that you already have. For most people, they don't even have a startup cost and the majority of people get a booking within the first week.

And so there are a number of things that we're going to be doing this winter and beyond. But one of the most important things we want to do is continue to make it easier to host. And one of the things I want to highlight that we launched last year was Ask a Superhost. Ask a Superhost pairs our very best superhosts with prospective hosts. This is really cool because basically what it does is it allows our community to help train new community members, new hosts to come on the platform. That's made a big difference. And we're going to continue to double down on that product. But we're looking at some other opportunities to continue to reduce friction. So you're going to see some really cool products to just continue to make it even easier to host. And so that's probably the primary thing that we're going to be focused on this fall.

We're also looking at some additional protections for hosts and just ways to really try to get everyday people with their primary homes that want to host occasionally to host on Airbnb. A lot of people don't realize that the top professions for hosts in the United States, for example, are schoolteachers. They're healthcare workers. They're students. These are the top three kind of professions or vocations on Airbnb. And so what we really think the big opportunity is to continue to attract regular people to become hosts. And we think one of the biggest sources of new hosts are prior guests on Airbnb. 36% of new hosts last quarter were prior guests. So this is where we're going to be focused on.

It's a really big opportunity for us. And I think, again, Airbnb was founded during a recession, the 2008 financial crisis. People were worried about being able to pay their bills, pay for their homes and their income. And so they turned to hosting. And we think a lot of people may turn to hosting once again. So this is a big opportunity for us. Dave, if you want to talk about the margin improvement.

David E. Stephenson
Chief Financial Officer, Airbnb, Inc.

A

Yeah, thanks. We're really proud of the progress we made to reduce our fixed costs and make improvements in our variable costs. We've really exercised discipline on our spending here in 2022 and we're going to continue to do so. But while we're thrilled with this margin expansion, we're heavily in growth mode. We are not in profit maximization mode. We really want to balance profitability with growth. One of the things we're very proud of in Q2 is that we are showing both growth and profitability at scale. But we'll continue to invest in growth. We're going to prioritize things and we'll grow the business over the long haul.

Justin Patterson
Analyst, KeyBanc Capital Markets, Inc.

Q

Thank you.

Operator: Our next question is from Doug Anmuth with JPMorgan. Your line is open.

Doug Anmuth
Analyst, JPMorgan Securities LLC

Q

Thanks for taking the questions. Just hoping you can talk a little bit about just kind of macro environment, just what you're seeing in terms of consumer activity or types of trips being booked and also just to get your view on long-term stays. Can you talk about 25% growth year-over-year or just the trends there going forward? Thanks.

Brian Chesky
Chairman, Chief Executive Officer & Co-Founder, Airbnb, Inc.

A

Dave?

David E. Stephenson
Chief Financial Officer, Airbnb, Inc.

A

Sure. Well, if you start the macro environment; again, we are very pleased with our results despite any kind of macroeconomics. We're seeing strong demand here in Q3. And as I said, the Q2 nights and experiences grew 25% year-over-year, seeing similar growth for Q3. And our demand in Q4 reservations are really strong as I mentioned earlier.

What we've seen so far is that North America and Europe have been our strengths. But we are seeing an uptick in more cross-border and more urban, so those are historic strength areas for us. And we're starting to see those parts of the businesses come back. But ultimately, if you just kind of step back, you just see the resilience of our business overall, that because we have so much different kinds of supply in so many places around the world, we have any kind of place for anyone that wants to travel. And there's just so much pent-up demand for travel and just so much demand for travel in general that people would like to spend money on the experience of travel and getting out of their home more than on things that we're going to just continue to see that great strength in our business.

And then in terms of long-term stays, it continues to be the fastest-growing business by tripling. So if you look at nights of 28 days or longer, that part of the business is growing faster since 2019 than any other segment stays. And actually, if you kind of subsegment it, nearly 50% of our nights are at seven days or longer and which I think, again, you start to stay any place seven days or more and Airbnb is the best way to kind of experience that stay. So the long-term stay trend continues to be very solid and growing faster than any other part of the business.

Doug Anmuth
Analyst, JPMorgan Securities LLC

Q

Great. Thank you.

Operator: The next question is from Nick Jones with JMP Securities. Your line is open.

Nicholas Jones
Analyst, JMP Securities LLC

Q

Great. Thanks for taking the questions. Two. I guess first, can you just kind of give us an update on the I'm Flexible option and how that's kind of playing out and what kind of experiences you're able to provide in those markets that maybe are less dense? And then a follow-up.

Brian Chesky
Chairman, Chief Executive Officer & Co-Founder, Airbnb, Inc.

A

Yeah. So Nick, I'm Flexible essentially was the product that we launched last year. It really has two components. There's flexible dates that allows people to say I'm flexible about when to travel. And we can say really interesting traveling anywhere for a weekend, a week or a month anytime in the next year. And we also had I'm Flexible destinations.

We rebuilt I'm Flexible destinations from the ground up and that became Airbnb Categories. So that's the product that has been used or people have seen listings that have been featured in Airbnb Categories over 180 million times since May 11. This has definitely been like a huge boon for us. And what we're seeing is that people are, in fact, discovering homes they would have never otherwise seen or booked. So we're seeing the search radius widen by – I think it was 30 miles what I said before. The other thing we're seeing is that people are continuing to be more flexible about their dates. So more and more people are using the I'm Flexible dates feature as well.

And so we're really excited about this. I think this is a really big thing that we're going to be focusing on. And we're going to continue to be investing in this product because I think this is a bit of a paradigm shift for how people will travel. Not everyone is going to be flexible about how they travel. But for anyone that's not traveling for business or not visiting family – if you're doing leisure travel; almost by definition, you probably have some flexibility. And as fewer and fewer people are going to be required to go into office five days a week, I think this option is going to be more and more important. And our business model works uniquely for this because we have a lot of unique inventory. So it has been used quite a lot. And hopefully, that answers your question.

Nicholas Jones
Analyst, JMP Securities LLC

Q

Yeah. And then I guess a follow-up is in some of the areas that are outside of urban areas, less dense, less, I guess, arguably activities, how are you thinking about adding more optionality to make these types of experience more engaging for the guests?

Brian Chesky
Chairman, Chief Executive Officer & Co-Founder, Airbnb, Inc.

A

Sorry, can you just elaborate outside of urban areas? Or I'm...

Nicholas Jones
Analyst, JMP Securities LLC

Q

So like if you're in a rural area and there's less activities arguably because there's less population, how are you looking to add more experiences for those guests in those regions?

Brian Chesky
Chairman, Chief Executive Officer & Co-Founder, Airbnb, Inc.

A

I see. Yeah, well, it's a great question. So number one, Airbnb Categories and the new products we're doing are great ways to highlight really interesting homes in communities you'd never know existed. We have like these incredible barns and farm stays and castles and tree houses. And many of these are in towns you've probably never even heard of, most of them.

But there's another good question. If you go to Paris, you have the Eiffel Tower. But if you go to a rural area in Upstate New York or in California or some other place, what do you do when you're there? And we do think Airbnb Experiences are great, obviously, for like places that are not iconic tourism destinations. So that's why we're continuing to invest in that product. And people really love Airbnb Experiences. They actually have a higher five-star rating even than homes.

So I think this is a great opportunity for a rural destination. And we have a lot of really popular experiences. So like if you go on a farm, you can do a farm stay. And then you can have interesting experiences on that farm. So that's just one example. We have really popular experiences. For example, in Tuscany, you can make pasta with a nearly 90-year-old grandmother who's been making pasta the same way for more than half a century. So these are experiences you would have never been able to find and we're really excited about them.

Nicholas Jones
Analyst, JMP Securities LLC

Q

Great, thanks.

Brian Chesky
Chairman, Chief Executive Officer & Co-Founder, Airbnb, Inc.

A

Yeah.

Operator: The next question is from James Lee with Mizuho. Your line is open.

James Lee
Analyst, Mizuho Securities USA LLC

Q

Great. Thanks for taking my question. And maybe as we look into FY 2023; obviously, we have a lot of economic uncertainties here. If the economy indeed slow down and consumers start to trade down, how do you think that impacts Airbnb's business? And also on the other hand, if you look at expenses if demand slowed down; is there anything in your cost structure you could optimize to offset any potential headwinds? Thanks.

Brian Chesky
Chairman, Chief Executive Officer & Co-Founder, Airbnb, Inc.

A

Dave, do you want to take this?

David E. Stephenson
Chief Financial Officer, Airbnb, Inc.

A

Sure. I think we've highlighted this a bit on the call that you don't know what the economy is going to bring. But we do know that Airbnb is resilient to almost any kind of economic shock. As Brian mentioned, we were founded in a recession and we've obviously thrived in the era of COVID despite COVID. And what we're just finding is that people can come to Airbnb because we have any kind of property, whether it's a small shared room or a private room to luxury stays. We have something for anyone depending on their travel needs. And like we saw in COVID, if they can't cross borders; they're going to stay domestically. They'd get in a car and they go down the road. If domestic air travel gets too expensive, again, they can stay domestically. And they can, basically within their budget, find the perfect place for them because we have such a diversity of types of offerings for them. So I think that is one of the things that just gives us this great resilience.

And then in terms of expenses, if the business slows down; again, we've already made the hard choices. In 2020, we substantially reduced our fixed costs. We eliminated a number of positions. We moved from being divisional to functional. So we are a leaner, tighter machine and we will remain that way. We're going to continue to grow. We're growing head count in the high single-digit percentage rates. But that is going to be able to support us for the very long term. And we're going to remain very focused and disciplined in our investments. So I feel really good about the position that we're in with our investment level.

James Lee
Analyst, Mizuho Securities USA LLC

Q

Great. Thanks so much.

Operator: The next question is from Brian Fitzgerald with Wells Fargo. Your line is open.

Brian Fitzgerald
Analyst, Wells Fargo Securities LLC

Q

Thanks, guys. We wanted to ask about the recovery of supply that you continue to see maybe particularly in urban areas. Are you seeing hosts who had come off the platform not coming back? Wondering how you're making these hosts aware of the increased urban demand and helping to reactivate them. And any color there on that? Maybe latent supply capacity if you could, that'd be awesome.

Brian Chesky
Chairman, Chief Executive Officer & Co-Founder, Airbnb, Inc.
A

Dave, do you want to take this?

David E. Stephenson
Chief Financial Officer, Airbnb, Inc.
A

Yeah, a couple of notes on the supply growth. We just continue to see strong supply growth. Since 2019, our nights and experiences booked, they grew 24% and our active listings have grown 23%. And we have over 6 million active listings now even taking down the domestic listings in China. So as you mentioned, on the urban side, the active listings – well, I'll start with the non-urban. In non-urban, it increased 7% quarter-over-quarter and 16% from Q2 2021. And then in North America, they've increased 23%.

But then to your specific question, yes. As demand returns to cities, we're seeing a return to growth in the total urban supply. And exactly right. The people that have properties, they come back onto Airbnb and are ready to host again. If you kind of step back and think about it; because the vast majority of our hosts are individual hosts and then therefore the vast majority of their listings are either their primary home or maybe a secondary home, they don't get rid of those in a recessionary environment or other things. It's not like a professional host which may be looking at the pure return on investment on a particular property at a particular point in time. And so with those individual hosts; when the demand comes back, they come back onto Airbnb and the listings are there. So it's precisely what we're seeing. When the demand comes back, the supply is right there ready for them to stay.

Brian Fitzgerald
Analyst, Wells Fargo Securities LLC
Q

Awesome. Thanks, Dave. Appreciate it.

Operator: The next question is from Mark Mahaney with Evercore ISI. Your line is open.

Mark S.F. Mahaney
Analyst, Evercore ISI
Q

Okay. I think I'll ask two questions. Just talk about the China outbound market and how you tap into that, how material that's been for you to date. And then on experiences, I know that's on that long list of things that you've been working on in terms of product innovations, that it seems like it's been less of a priority. But is there anything that suggests that it's rising a little bit in your list of priorities and that you want to lean into it more aggressively in 2023? Thank you.

Brian Chesky
Chairman, Chief Executive Officer & Co-Founder, Airbnb, Inc.
A

Yes, Dave, why don't you take China? I can expand on the answer and I'll take experiences.

David E. Stephenson
Chief Financial Officer, Airbnb, Inc.
A

Yeah. We're very bullish on China over the longer term. It's obviously been significantly impacted due to COVID. People are not traveling outbound. That's actually how we started the business, seeing great outbound travel from China all around the world. And that is still the prize for us to kind of continue to focus on.

So right now, APAC is still significantly depressed. If you look at our overall nights growth; as we've said, it's 25% up from Q2 of 2019. But if you exclude APAC, it's actually up 35%. So you can see what kind of a drag that has. And I think the re-acceleration or further acceleration of the business from where we're at today will be benefited by having China outbound come back and resurrecting our APAC business.

Brian Chesky
Chairman, Chief Executive Officer & Co-Founder, Airbnb, Inc.

A

Yeah, I would just add to that that we have absolutely seen in every other geography in the world that there is pent-up demand. In North America, there was pent-up demand. In Europe, there was pent-up demand. We expect there will be a lot of pent-up demand for travel from China outbound and more broadly in APAC.

And so how have we been preparing? Well, number one way to prepare for the China outbound business is to make sure we have really great supply in the quarters where people in China are traveling to. This includes like Japan and Korea, Southeast Asia and beyond. The next thing is just making sure that once people are ready to travel, our product is continuing to be updated and we have the marketing campaign ready to go. So it's a pretty simple strategy. The greatest thing is we don't have to make a lot of changes. We think our product as it is is going to be great once the China outbound rebounds and we think it will. Everything suggests it will just like every other market. So we're pretty excited about that. And I think that in the coming years, this will actually be a pretty important part of our APAC business.

Now with regards to experiences. Yeah, Mark, let me just give a little bit of context. 2018-2019 experiences was going along pretty well. And we expected that 2020 was going to be a breakout year for experiences. And we were going to focus quite a lot of our energy on it. And then, of course, the opposite happened. There was a pandemic. We had to pause the business. People were not comfortable gathering in person let alone meeting strangers. And so during the depths of the pandemic, we got focus back on our core business. We got back to basics. And I think that explains a lot of the business transformation we experienced, especially now that we've generated nearly $3 billion in free cash flow.

That being said, we remain incredibly bullish about the long-term potential of experiences. The average five-star ratings for experiences, as I mentioned, is higher than the average five-star ratings even for homes. And we just think people need to know more about this product. It needs to be continually integrated into the search flow and we need to continue to market it. So the answer to your question, yes, experiences will become once again a rising priority. And we are making quite a few investments in the product to continue to highlight experiences. And I think it's going to be a big part of our story in 2023 and beyond, over really the next five years. So I'm really excited about them.

Mark S.F. Mahaney
Analyst, Evercore ISI

Q

Okay. Thank you, Brian. Thank you, David.

Operator: Our next question is from John Colantuoni with Jefferies. Your line is open.

John Colantuoni
Analyst, Jefferies LLC

Q

Thanks for taking my questions. So last quarter, you mentioned an expectation for marketing as a percentage of revenue to remain relatively flat compared to 2021. Is it possible for you to update us on whether or not that's still your expectation following marketing in the first half coming in a few hundred basis points below last year? And I have a follow-up.

Brian Chesky
Chairman, Chief Executive Officer & Co-Founder, Airbnb, Inc.

A

Dave?

David E. Stephenson
Chief Financial Officer, Airbnb, Inc.

A

Yes, the short answer is we anticipate marketing as a percentage of revenue in 2022 being consistent with 2021 and a very modest increase in the back half of the year.

John Colantuoni
Analyst, Jefferies LLC

Q

Okay, great. And second question on take rate. It looks like outlook for the third quarter implies a take rate that's better than what we were expecting and up a decent chunk versus the same quarter in 2019. Any chance you can give us some detail about the puts and takes driving that take rate? Thanks.

David E. Stephenson
Chief Financial Officer, Airbnb, Inc.

A

Yeah. The underlying shifted take rate is unchanged. So any of the variation in take rate is just a timing difference between revenue stays versus timing of bookings.

John Colantuoni
Analyst, Jefferies LLC

Q

Okay. Thank you.

Operator: Our next question is from Stephen Ju with Credit Suisse. Your line is open.

Stephen Ju
Analyst, Credit Suisse Securities (USA) LLC

Q

Okay. Thank you. So, Brian, I think you yourself signed up to be a digital nomad and joined your employees who can now, I guess, work from anywhere. So is there anything you can share in terms of what you're seeing from the organization overall regarding pick-ups or declines in productivity or your ability to innovate?

And, Dave, at the time of the IPO, I think you guys had disclosed that the different cohorts of guests were displaying pretty similar revenue retention as they age. But as we entered the pandemic, you probably had a pretty good influx of new users who signed up to experience Airbnb for the first time ever. So is there anything you can share in terms of the behavior of the 2020 and the 2021 cohorts relative to what you have seen for the folks who are arguably the earlier adopters? Thanks.

Brian Chesky
Chairman, Chief Executive Officer & Co-Founder, Airbnb, Inc.

A

Yeah, so why don't I take the first question on really remote work? So in April, we announced that Airbnb employees can live and work anywhere. And why did we do this? Well, there were a couple of reasons. Number one, we had the most productive two years in our company history. And those two years were two years where we rebuilt the company from the ground up, fixed our cost base, accelerated the growth. And all this was done on Zoom. And so it was very clear to me that like the most productive we've ever been is on Zoom. And so I thought there was no question that we can maintain that productivity.

Additionally, I think a really good way to predict the future is to look at what young companies do. 20 years ago, young companies had open floor plans and they had a lot of perks onsite. And that became the dominant way that people worked in offices around the world. Well, if you look at a lot of the young companies today, they have a lot of flexibility. They're embracing remote work. And so I think this is a really good leading indicator of what the office space, office place, office environment of the future will look like in the next 10 years.

Now that being said, we do think in-person interaction is really important. But I don't think that requires you to have to come to an office three days a week. So the guideline that we've given is we'd like to gather employees at least one week a quarter. So rather than kind of coming in every week; we want more meaningful, less frequent interactions and gatherings. And otherwise, we think Zoom is really, really efficient for productivity.

And the other thing I'll just say is I know a lot of CEOs are kind of nervous about productivity if their employees aren't in an office. But we have a pretty unique way to run the company. We do at least two releases every year and it's a really great mechanism for accountability. So you can see the productivity of everyone in the organization because all the work is kind of coming together twice a year to take these really big leaps in the organization. So it's actually, in a sense, kind of easier to track productivity when everything is really online. And so that's something that we're really embracing.

David E. Stephenson
Chief Financial Officer, Airbnb, Inc.

A

Great. And then relative to cohorts, what we're starting to see is – we believe, to start with, that we have some of the highest guest retention rates in travel. And we still stated that at our IPO and we still believe that to be true. And our booking frequency remains quite strong. It's getting closer to 2019 levels. And as we manage to look at the cohorts, really what we're seeing in 2020 and 2021, the new guest cohorts; they've been actually very retentive, even maybe more so than kind of historical levels likely due to some self-selection.

New guests who joined in the years of the pandemic are willing to kind of travel now or are probably more inclined to kind of travel than others. And then in terms of rebooking rates of past guests, we've seen nice improving rates on those trends here in 2022 above kind of 2021 levels, but maybe still a bit below 2019, again, just given the nature of self-selection of who's willing to kind of travel at this time.

Stephen Ju
Analyst, Credit Suisse Securities (USA) LLC

Q

Thank you.

Operator: The next question is from Kevin Kopelman with Cowen. Your line is open.

Kevin Kopelman
Analyst, Cowen and Company

Q

Thanks. Can you give us a sense of what listings growth looks like ex the China shutdown? And then, qualitatively, if you could talk about the key drivers and trends you're seeing there in listings. Thanks.

Brian Chesky
Chairman, Chief Executive Officer & Co-Founder, Airbnb, Inc.

A

Dave, you want to take that?

David E. Stephenson
Chief Financial Officer, Airbnb, Inc.

A

Yeah. In terms of the growth, what we've stated is that we are still well above 6 million active listings even excluding the takedown of the China domestic. And as we kind of mentioned in our results, we're seeing strong listings growth specifically in the areas where we have the strongest kind of bookings.

Kevin Kopelman
Analyst, Cowen and Company

Q

Did you give the number of China listings?

David E. Stephenson
Chief Financial Officer, Airbnb, Inc.

A

We have not specifically mentioned the China listings, no.

Kevin Kopelman
Analyst, Cowen and Company

Q

Okay, thanks. And then just a quick follow-up on – so on the Q2 guide, you talked about slowing later in the quarter. But you're still pretty much on where you had guided for nights. Is it safe to assume for the third quarter, you're also assuming some slowdown in the remainder of that quarter?

David E. Stephenson
Chief Financial Officer, Airbnb, Inc.

A

Well, if anything, what we're seeing is acceleration of the business here in July and actually, kind of very stable overall nights booked growth for the quarter on nights and experiences booked. Obviously, then for our revenue, it has a modest – it has a decel on a year-over-year basis but actually will be up from kind of year over three years.

Kevin Kopelman
Analyst, Cowen and Company

Q

Okay. Thank you.

Operator: The next question is from Brian Nowak with Morgan Stanley. Your line is open.

Brian Nowak
Analyst, Morgan Stanley & Co. LLC

Q

Thanks for taking my questions. I have two. The first one. Is there any update on the number of I'm Flexible queries or sort of how big that's gotten? I know it's a number that you all were disclosing out for a couple of quarters. And then, secondly, there remains to be an ongoing debate about how much of the shift toward Airbnb on certain accommodations was sort of COVID. And now you're going to have a mean reversion back toward hotels. What are two or three of the KPIs that you look at that sort of give you confidence that your addressable market of users, of the hosts, everything has really expanded? Like what are you seeing on the internal KPIs that you watch now in July and August that give you confidence that you're still going to have outsized market share growth into 2023?

Brian Chesky
Chairman, Chief Executive Officer & Co-Founder, Airbnb, Inc.

A

Dave, you want to take these?

David E. Stephenson
Chief Financial Officer, Airbnb, Inc.

A

Yeah. We're continuing to see just really strong growth in our new guests. And we're, obviously, looking at our new guests, our new guest retention, which is one of the questions we just had, which remains quite strong with people coming back on. We're continuing to see just overall utilization of Airbnb versus hotels. We didn't ever dip as much as hotels did and we introduced Airbnb to millions of new customers. And we see the new use cases. We've highlighted things like our long-term stays and use cases where people aren't going to want to be in a hotel for more than seven days. And so the portion of our business, nearly 50%, that are over seven days is really helpful in that regard. And over 28 days is nearly a fifth of our business.

So we look at just the destinations that people are able to kind of travel. So the robustness of us historically have been cross-border and urban. And now what we're seeing is great growth in suburb and in non-urban. And so of the distribution of the nights around the world, I think that is also giving us great confidence in the growth of our business overall because we don't just tap out. If we were only, say, a vacation rental destination type company; you can tap out in either the supply and even demand in those kind of areas. But that's really – we have such a diversity of supply around the world that we're able to continue to grow quite well.

Brian Chesky
Chairman, Chief Executive Officer & Co-Founder, Airbnb, Inc.

A

Yeah, hey, Brian. Maybe I'll just add a little bit of context. It's good to remember that before the pandemic, our bread and butter was cross-border and urban. That was our bread and butter. It was cross-border travel and urban travel. And of course, when the pandemic occurred, that got primarily shut off. And yet our business recovered because people were using Airbnb differently.

I think that really the key important thing here is that our model is obviously incredibly adaptable. We are in nearly every community in the world. We have nearly every type of space and nearly every type of price point. And I think that the reason that people would use Airbnb is we'll continue to [indiscernible] (00:47:38). People are looking for value. They want to feel like they live like a local. As more and more people have flexibility and trip length continues to increase – nearly half of our business is a week or longer. That's prohibitive probably when you stay in hotels. And there's a lot of new use cases that we think are here to stay. The thing I'm pretty excited about is that a lot of the older use cases, cross-border and urban, are coming back.

Brian Nowak
Analyst, Morgan Stanley & Co. LLC

Q

That's helpful. Thank you both.

Brian Chesky
Chairman, Chief Executive Officer & Co-Founder, Airbnb, Inc.
A

Thank you.

Operator: The next question is from Naved Khan with Truist Securities. Your line is open.

Naved Khan
Analyst, Truist Securities, Inc.
Q

Yeah, hi, thanks. I'm a little surprised by the continued strength in North America and in the US. I think you talk about 37% growth in nights and experiences versus EMEA maybe up 25%. Is it just that EMEA continues to lag? Or is this from everything that we're hearing, it seems like EMEA saw like a burst of demand in the second quarter? So just trying to reconcile that.

Brian Chesky
Chairman, Chief Executive Officer & Co-Founder, Airbnb, Inc.
A

Dave?

David E. Stephenson
Chief Financial Officer, Airbnb, Inc.
A

Yeah. EMEA is still lagging behind the acceleration that we've seen in North America. We think that that is actually one of the opportunities for future acceleration of the business. Clearly, things like the impact of the war in Ukraine certainly has had an impact. And there's, obviously, the economic impact of even just foreign exchange rates, lower euro and British pound relative to the US dollar. So there are some reasons why Europe's been lagging. It's still a strong business for us. It's still doing well, but it could even do better.

Naved Khan
Analyst, Truist Securities, Inc.
Q

And then maybe just as a follow-up. So if I had to think about the back half and the advertising channels, do you see opportunity to increase the branded ad spend? Or do you think it pretty much maxed out and might just stay around these levels?

David E. Stephenson
Chief Financial Officer, Airbnb, Inc.
A

Well, again, I think we have a modest increase in our overall marketing spend in the back half of the year. We're very happy with the approach to our brand spend. Again, if you step back, one of the big strengths of Airbnb is our ability to market to both guests and hosts at the same time, to be able to bring guests with 90% of our traffic remaining direct or unpaid. And I think this brand strategy, in fact, it's more of a product marketing strategy that we have to market the features and capabilities that we have at Airbnb and what makes us different has been a huge strength for us. So we're really happy with that investment. We think we're investing fully at the moment there. We will look over time to maybe expand the countries that we're doing more of that investment. So later this year and into early next, you could see us expanding into more countries because we're seeing some good success with our investment right now.

Naved Khan
Analyst, Truist Securities, Inc.
Q

Thank you.

Operator: The next question is from Jed Kelly with Oppenheimer. Your line is open.

Jed Kelly
Analyst, Oppenheimer & Co., Inc.

Q

Hey, great. Thanks for taking my question. Two if I may. Just one on the non-urban listings. It continues to grow well and you're adding a lot of supply. Can you sort of touch on where the share gains are coming from like where those listings are coming from? Is it coming from people not using their second home as much and going back to a more urban destination? Or are you taking more share with property managers? Or are you opening up with new destinations? And then my second question just relates to overall seasonality this year. It seems like the room nights is following a consistent seasonal trend as 2019. So should we expect a similar 4Q seasonality as 2019? Thank you.

Brian Chesky
Chairman, Chief Executive Officer & Co-Founder, Airbnb, Inc.

A

Yeah. So maybe I can at least answer the first non-urban listings at a higher level. And, Dave, you can answer maybe more specifically and also talk about seasonality.

So, hey, Jed. At the highest level, I would say that one of the things that we've seen is that we have a global network where the fastest growing markets from the supply basis are typically the fastest growing markets from a demand basis. And this is not surprising because the number one source of hosts are prior guests. So specifically in non-urban listings, it's not a uniquely different composition. It's not like it's a lot more property managers or anything like that. It's pretty consistent composition from years prior. So the vast majority of listings are individuals, but there are also property managers that are continuing to come on the platform.

We're also seeing people continue to open up more nights on their calendar. As demand goes up, people are often motivated to add more availability on their calendar. And also, as people get more business, they tend to tell their friends about it. And this is one of the greatest things about having a business where the vast majority of your supply are individuals. So we continue to see really strong growth in non-urban listings. But as urban recovers, we are anticipating that we're going to see some solid supply growth in urban areas as well. Dave, feel free to elaborate on that and take the second question as well.

David E. Stephenson
Chief Financial Officer, Airbnb, Inc.

A

Yeah, I think you covered the first really well. I'll just say on the nights and experiences booked kind of seasonality, now that we kind of enter Q3 and Q4, it's probably just better to look at the year-over-year growth rates as kind of being more normalized. And I think that's the better way to kind of look at the overall seasonal growth.

Jed Kelly
Analyst, Oppenheimer & Co., Inc.

Q

Thank you.

Operator: The next question is from Tom White with D.A. Davidson. Your line is open.

Tom White
Analyst, D. A. Davidson & Co.

Q

Great. Thanks for taking my question. Brian, during the early days of the pandemic, you talked about narrowing your focus on Airbnb's most perishable opportunities. You guys have now achieved profitability at scale. Your cash balance has grown significantly. Could you update us on maybe your latest thinking about those nonperishable opportunities? Are any of them particularly attractive to you? Or should we maybe infer from the buyback announcement that maybe you're not super close to really exploring those opportunities again?

Brian Chesky
Chairman, Chief Executive Officer & Co-Founder, Airbnb, Inc.

A

Hey, Tom. Yeah, so again, when the 2020 pandemic occurred; just to recap, we got really focused. We got back to basics. And over the last two years, I think we've really, really benefited by perfecting our core product. That being said, we are now looking and we are thinking very expansively. So you should look at our stock buyback as our confidence in our long-term growth and profitability. That's all you should read that stock buyback about.

That being said, we are going to continue to be investing aggressively over the coming years. So we are not pulling on the brakes. We are now stepping on the gas. Remember like the biggest innovations I had aren't going to be in my 20s and 30s. So we have some pretty big opportunities coming up. I'm excited about some of the things we're going to be releasing later this year. Well, we have another release coming next spring in time for the summer release and the fall and winter. And again, we're going to continue to focus on unlocking the next generation of hosts. So we have some really exciting new products built to attract the next generation of hosts, especially individuals that want to host occasionally.

We are going to continue to think of radical innovations around Airbnb becoming the ultimate host to our guests and hosts. We're going to continue to innovate on our search technology. And we have a lot of opportunities around helping people travel and live on Airbnb. So there's going to be some pretty exciting opportunities coming forward and I'm pretty bullish about it. I don't know if, Dave, there's anything you want to add to that.

David E. Stephenson
Chief Financial Officer, Airbnb, Inc.

A

Yeah, I'll just reemphasize. Our priority is investing in growth and $10 billion of cash is more than we need. $8 billion is more than sufficient to aggressively invest in growth in the business and that is our number one priority. At the same time, we're able to both invest and grow just given the profitability profile of our business overall. So I'm proud that we can do both, but the priority for us is investment and growth.

Tom White
Analyst, D. A. Davidson & Co.

Q

Great. Maybe just one quick follow-up on FX. Over the years, I remember some of the kind of traditional OTAs talking about how maybe it's less about kind of the absolute level of one currency relative to another. But it's maybe more like the volatility of foreign exchange rates that kind of dictate customer booking behavior. Curious whether you'd say that was a similar dynamic in your business or just generally, how do changes in FX rate – what impacts are you seeing in terms of customer behavior?

David E. Stephenson
Chief Financial Officer, Airbnb, Inc.

A

Well, I think the biggest impact you see with FX is in the cross-border travel, obviously, where a strengthening dollar gives you the ability for Americans to travel abroad, specifically right now, probably Europe and to the UK. And a weakening euro and pound makes it more difficult for them to kind of travel back.

But again, if you look at Airbnb, the fact is that people adjust their travel to meet their overall kind of budgets. And as we saw in COVID, people are more willing to – maybe they stay domestically if their budget doesn't allow the cross-border travel. And maybe they stay domestically if they don't feel like they can afford the cost of airline travel. So the FX impact from a consumer standpoint is usually this cross-border impact.

And then to our overall business, we're just seeing that as we generate nights stayed in euro and pounds and then we bring them back to the US and into the US dollar, we're just seeing the headwind of foreign exchange, which was material in Q1. There was 600 basis points of revenue growth driven by the FX moves. So I'd anticipate Q3, probably it'd be something less than that to our overall P&L.

Tom White
Analyst, D. A. Davidson & Co.

Q

Thank you.

Operator: That will conclude our question-and-answer session for today. I'll hand it over to Brian Chesky for any closing remarks.

Brian Chesky
Chairman, Chief Executive Officer & Co-Founder, Airbnb, Inc.

All right. Well, thank you, everyone, for joining us today. So I just want to say I'm incredibly proud of what we've delivered this quarter. Record nights and experiences booked. We had our most profitable Q2 and we generated $795 million of free cash flow, bringing our total free cash flow over the last 12 months to nearly $3 billion.

This transformation in our business was only possible because of our adaptable model and our relentless innovation. And regardless of economic environment, we believe guests will continue to come to Airbnb because they find great value and hosts can earn extra income. Airbnb is ready for whatever lies ahead. And we're so confident in our long-term growth and profitability that today, we're announcing a $2 billion share repurchase program. So thank you all for joining us today and I'll see you next quarter.

Operator: Ladies and gentlemen, this concludes today's conference call. Thank you for participating. You may now disconnect.